

Electronic Component Sector

Component Data Deposition: Storage production trends in July 2026; data center-related demand remains brisk

In this note, we analyze July 2026 HDD and SSD shipment data from Techno Systems Research (TSR). HDD production volume declined slightly MoM but stayed on a gradual uptrend. Growth in nearline HDD production remained strong. For data centers, nearline HDD capacity output was up 3% MoM, and YoY growth remained elevated at 27%. In nearline HDDs, demand remained solid for model capacities of 26TB, 28TB, 30TB, and 32TB or larger in July. Upward momentum in enterprise/data center-related SSD capacity output continued both YoY and MoM, with the capacity-based growth rate of enterprise/data center SSDs continuing to grow rapidly, at 112% YoY.

TDK remains our top pick among HDD electronic components makers. Overall HDD volume growth is limited, but head and suspension demand continues to increase at a faster pace amid expansion of the market for nearline HDDs. We forecast TDK's HDD head production volume will increase by 40% YoY in FY2026. In July-September, we forecast head production volume and suspension production volume will increase 10% and 6% QoQ, respectively, and we expect price revisions in response to supply/demand and an improvement in capacity utilization driven by an increase in head-use wafer input volume to lift production profit higher. In addition, supply/demand is starting to tighten for HDD heads, and the company has indicated the possibility of price hikes, so we will watch for any developments.

HDD production volume

- In July 2026, HDD production volume was 11.0 million units (flat YoY, -2% MoM), of which nearline HDDs accounted for 7.1 million units (+14%, +1%). HDD capacity output was 180.4EB (+24%, +2%), of which nearline HDDs accounted for 167.1EB (+27%, +3%). HDD production volume declined slightly MoM, but the trend line still shows a gentle rise. By form factor, only nearline HDDs maintained an increase in production, and within this, large-capacity products such as 26TB, 28TB, 30TB, and 32TB models gradually increased. However, enterprise HDDs, 3.5" ATA HDDs, and 2.5" mobile HDDs remained flat or declined.
- Demand for HDDs used in data center applications, mainly from hyperscalers, is still robust with no signs of a slowdown, and according to TSR, production of nearline HDDs is likely to continue increasing this quarter (July-September 2026). In addition, in nearline HDDs, the average capacity per drive in July was 23.6TB (+11% YoY, +2% MoM), continuing to trend higher.

SSD production volume

- In July 2026, SSD production volume was 30.2 million units (-2% YoY, -3% MoM), of which enterprise/data center SSDs accounted for 6.3 million units (+29% YoY, -1% MoM). SSD production capacity was 66.3EB (+59% YoY, +1% MoM), of which enterprise/data center SSDs accounted for 47.6EB (+112% YoY, +3% MoM).
- In enterprise/data center SSDs, average capacity per drive reached 7.6TB in July (+65% YoY, +4% MoM), continuing to trend higher. Total SSD shipment volume has plateaued, but total shipment capacity is growing rapidly, mainly

Japan Equity Research

Technology - Electronic Components

Akinori Kanemoto ^{AC}

(81-3) 6736 8628

akinori.kanemoto@jpmorgan.com

Ikki Shibata

(81-3) 6736 8641

ikki.shibata@jpmorgan.com

JPMorgan Securities Japan Co., Ltd.

in enterprise/data center SSDs. Demand in AI server and data center applications, especially from hyperscalers, is very strong and currently outstrips supply. This brisk demand is likely to persist at least through 1H 2027, according to TSR.

Trends in data center and server storage

- In July 2026, the total production volume of enterprise HDDs, nearline HDDs, and enterprise/data center SSDs was 13.6 million units (+19% YoY, flat MoM), and the total capacity output was 215.2EB (+39%, +3%). SSD's share of total capacity output has been trending upward since May 2025. As of July 2026, it was 22.1% (compared with 22.1% in June 2026 and 14.5% in July 2025).

Figure 1: Share price performance

Ticker	Company	Price (JPY)	Performance						Performance Ranking					
			-1W	-1M	-3M	-6M	-9M	-12M	-1W	-1M	-3M	-6M	-9M	-12M
6981	Murata Mfg.	7,397	4.7%	-0.3%	-23.1%	80.1%	130.2%	204.2%	4	8	11	3	4	3
6976	Taiyo Yuden	9,244	1.0%	-9.6%	-37.6%	92.7%	183.6%	204.5%	14	15	15	2	2	2
6762	TDK	3,112	2.3%	3.5%	-24.2%	28.4%	21.6%	60.7%	9	5	12	7	11	8
6971	Kyocera	3,625	1.4%	-1.8%	4.1%	31.2%	69.6%	83.4%	13	9	1	6	6	7
6963	Rohm	4,830	3.4%	11.5%	-11.5%	67.9%	130.5%	121.4%	6	2	7	4	3	4
6996	Nichicon	2,736	2.5%	-6.6%	-27.4%	26.8%	65.9%	98.3%	8	12	14	8	7	6
6997	Nippon Chemi-con	2,824	4.9%	-9.5%	-44.4%	49.6%	92.0%	100.6%	3	14	16	5	5	5
6594	Nidec	2,626	1.8%	1.4%	-5.9%	6.7%	33.4%	-18.2%	10	6	5	10	9	16
6479	MinebeaMitsumi	3,401	1.7%	-8.1%	-25.4%	1.1%	7.3%	33.5%	11	13	13	12	14	11
4062	Ibiden	20,175	7.3%	21.2%	-12.3%	111.5%	239.6%	457.2%	1	1	8	1	1	1
6806	Hirose Elec	26,000	2.9%	-5.0%	-7.9%	11.4%	47.5%	35.3%	7	11	6	9	8	10
6807	JAE	2,494	4.6%	4.9%	-1.3%	-7.7%	0.9%	-1.5%	5	4	4	16	15	14
6770	AlpsAlpine	2,239	1.5%	1.1%	3.1%	-4.5%	10.4%	23.6%	12	7	2	14	12	12
5334	Niterra	8,262	-5.2%	-12.2%	-18.7%	4.5%	22.4%	55.7%	16	16	9	11	10	9
6727	Wacom	840	5.4%	7.7%	-0.7%	-4.2%	0.0%	14.9%	2	3	3	13	16	13
7915	NISSHA	1,295	-0.2%	-2.6%	-20.8%	-4.9%	8.2%	-5.0%	15	10	10	15	13	15
Simple Average			2.5%	-0.3%	-15.9%	30.7%	66.5%	91.8%						
SOX		11,470	0.4%	1.4%	-10.6%	41.6%	63.3%	102.3%						
NK225		66,406	1.3%	3.2%	0.1%	12.8%	32.1%	55.4%						
TOPIX		4,147	1.8%	3.6%	4.8%	5.3%	22.7%	34.8%						

Source: Bloomberg Finance L.P., J.P. Morgan.

Note: Share prices as of Aug 28, 2026. The darker the red, the higher the stock price performance ranking (the darker the blue, the lower the ranking).

Figure 2: Valuations of electronic component and HDD-related stocks

Ticker	Company	Share Price	Price Target	Return	Rating	Market Capitalization	P/E			EPS			EV/EBITDA			P/B		
		(JPY)	(JPY)				FY26E	FY27E	FY28E	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E
						(JPY mn)	(x)	(x)	(x)	(x)	(x)	(x)	(x)	(x)	(x)	(x)	(x)	(x)
6981	Murata Mfg.	7,397	15,200	105.5%	OW	14,168,947	41.76	25.85	17.29	177	286	428	29.53	19.39	13.39	4.79	4.24	3.57
6976	Taiyo Yuden	9,244	22,500	143.4%	OW	1,254,178	52.58	23.25	14.35	176	398	644	28.21	18.06	12.68	3.24	2.91	2.46
6762	TDK	3,112	5,500	76.7%	OW	5,989,032	26.29	20.64	16.53	118	151	188	12.10	10.04	8.31	2.53	2.35	2.15
6971	Kyocera	3,625	3,900	7.6%	N	5,191,071	31.76	28.25	25.28	114	128	143	18.25	15.84	13.84	1.43	1.50	1.58
6963	Rohm	4,830	8,000	65.6%	OW	1,955,813	38.51	28.27	22.63	125	171	213	21.84	17.81	12.90	2.54	2.42	2.16
6996	Nichicon	2,736	4,500	64.5%	OW	193,130	22.97	17.71	14.47	119	154	189	10.14	8.50	7.24	1.47	1.39	1.29
6997	Nippon Chemi-con	2,824	4,300	52.3%	N	82,298	17.94	12.57	8.91	157	225	317	10.96	8.95	7.15	1.39	1.24	1.08
6594	Nidec	2,626	1,800	-31.5%	UW	3,109,027	14.90	13.01	-	176	202	-	6.45	5.45	-	1.47	1.33	-
6479	MinebeaMitsumi	3,401	5,500	61.7%	OW	1,446,095	14.93	12.71	11.20	228	268	304	11.42	9.87	8.57	1.41	1.30	1.19
4062	Ibiden	20,175	28,500	41.3%	OW	5,760,750	74.25	55.42	41.23	272	364	489	30.72	24.50	19.82	9.08	7.90	6.71
6806	Hirose Elec	26,000	33,300	28.1%	OW	894,684	21.63	18.09	15.79	1,202	1,438	1,646	12.00	10.31	9.23	2.18	2.07	1.97
6807	JA-E	2,494	2,280	-8.6%	N	174,772	25.91	16.26	13.02	96	153	192	4.90	4.13	3.61	1.14	1.09	1.04
6770	AlpsAlpine	2,239	2,480	10.8%	N	467,609	15.68	13.96	12.49	143	160	179	4.62	4.19	3.91	0.94	0.90	0.86
5334	Niterra	8,262	13,300	61.0%	OW	1,663,121	14.41	12.41	11.29	574	666	732	10.28	8.76	7.76	1.94	1.77	1.61
6727	Wacom	840	1,300	54.8%	OW	113,805	11.53	11.04	10.57	73	76	79	5.09	4.11	3.16	2.24	1.77	1.45
7915	NISSHA	1,295	1,460	12.7%	N	61,653	18.41	13.16	9.25	70	98	140	5.62	4.97	4.11	0.53	0.52	0.50
Simple Average		-	-	46.6%	-	2,657,874	27.72	20.16	16.29	239	309	392	13.88	10.93	9.05	2.40	2.17	1.97

Tiker	Company	Share Price	Price Target	Return	Rating	Market Capitalization	ROE			DPS			Dividend Yield			Dividend Payout Ratio		
		(JPY)	(JPY)				FY26E	FY27E	FY28E	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E
						(JPY mn)				(JPY)	(JPY)	(JPY)						
6981	Murata Mfg.	7,397	15,200	105.5%	OW	14,168,947	11.6%	17.4%	22.4%	70.0	85.0	100.0	0.9%	1.1%	1.4%	39.5%	29.7%	23.4%
6976	Taiyo Yuden	9,244	22,500	143.4%	OW	1,254,178	6.9%	14.4%	20.3%	95.0	105.0	125.0	1.0%	1.1%	1.4%	54.0%	26.4%	19.4%
6762	TDK	3,112	5,500	76.7%	OW	5,989,032	9.9%	11.8%	13.6%	40.0	54.0	66.0	1.3%	1.7%	2.1%	33.8%	35.8%	35.0%
6971	Kyocera	3,625	3,900	7.6%	N	5,191,071	4.4%	5.2%	6.1%	56.0	56.0	56.0	1.5%	1.5%	1.5%	49.1%	43.6%	39.0%
6963	Rohm	4,830	8,000	65.6%	OW	1,955,813	7.8%	10.2%	11.5%	50.0	50.0	65.0	1.0%	1.0%	1.3%	39.9%	29.3%	30.5%
6996	Nichicon	2,736	4,500	64.5%	OW	193,130	6.5%	8.1%	9.2%	39.0	41.0	43.0	1.4%	1.5%	1.6%	32.7%	26.5%	22.7%
6997	Nippon Chemi-con	2,824	4,300	52.3%	N	82,298	7.2%	9.5%	12.0%	25.0	25.0	25.0	0.9%	0.9%	0.9%	15.9%	11.1%	7.9%
6594	Nidec	2,626	1,800	-31.5%	UW	3,109,027	10.3%	10.6%	-	0.0	0.0	-	0.0%	0.0%	-	0.0%	0.0%	-
6479	MinebeaMitsumi	3,401	5,500	61.7%	OW	1,446,095	9.8%	10.7%	11.1%	60.0	62.0	65.0	1.8%	1.8%	1.9%	26.3%	23.2%	21.4%
4062	Ibiden	20,175	28,500	41.3%	OW	5,760,750	13.7%	16.1%	18.6%	35.0	55.0	65.0	0.2%	0.3%	0.3%	12.9%	15.1%	13.3%
6806	Hirose Elec	26,000	33,300	28.1%	OW	894,684	10.1%	11.6%	12.6%	540.0	580.0	620.0	2.1%	2.2%	2.4%	44.9%	40.3%	37.7%
6807	JA-E	2,494	2,280	-8.6%	N	174,772	4.4%	6.9%	8.2%	50.0	60.0	70.0	2.0%	2.4%	2.8%	51.9%	39.1%	36.6%
6770	AlpsAlpine	2,239	2,480	10.8%	N	467,609	6.4%	7.0%	7.5%	64.0	72.0	76.0	2.9%	3.2%	3.4%	44.8%	44.9%	42.4%
5334	Niterra	8,262	13,300	61.0%	OW	1,663,121	14.0%	14.9%	14.9%	220.0	250.0	280.0	2.7%	3.0%	3.4%	38.4%	37.6%	38.3%
6727	Wacom	840	1,300	54.8%	OW	113,805	22.3%	17.9%	15.1%	24.0	24.0	24.0	2.9%	2.9%	2.9%	32.9%	31.5%	30.2%
7915	NISSHA	1,295	1,460	12.7%	N	61,653	2.9%	4.0%	5.5%	50.0	50.0	50.0	3.9%	3.9%	3.9%	71.1%	50.8%	35.7%
Simple Average		-	-	46.6%	-	2,657,874	9.3%	11.0%	12.6%	-	-	-	1.7%	1.8%	2.1%	36.8%	30.3%	28.9%

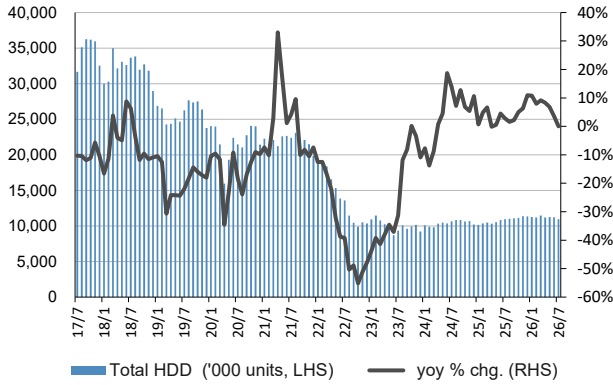
Ticker	Company	Share Price	P/E Consensus(BBG)			P/B Consensus(BBG)		
		(LC)	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E
			(x)	(x)	(x)	(x)	(x)	(x)
WDC U:WD		459	23.20	14.55	10.74	12.31	8.84	6.20
STX US Seagate		830	23.23	14.91	10.53	22.38	10.97	7.88
7741 JT HOYA		24,405	29.89	26.49	23.76	7.89	7.44	6.81
6504 JT Fuji electric		13,815	18.23	16.78	14.78	2.34	2.14	1.95
4004 JT Resonac HD		16,175	29.10	20.24	16.91	3.83	3.32	2.86
5991 JT NHK Spring		3,337	14.26	12.69	11.28	1.44	1.33	1.22

Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Note: Share prices and Bloomberg (BBG) consensus are as of Aug 28, 2026.

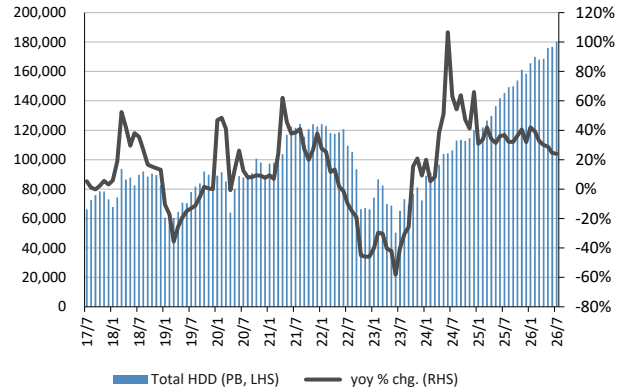
HDD production volume, HDD capacity output

Figure 3: HDD production volume



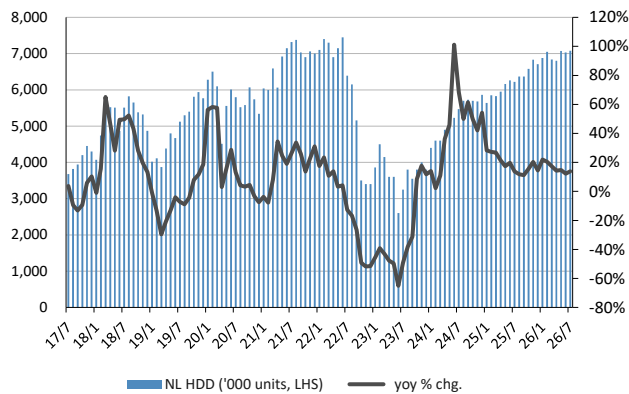
Source: TSR, J.P. Morgan.

Figure 4: HDD capacity output



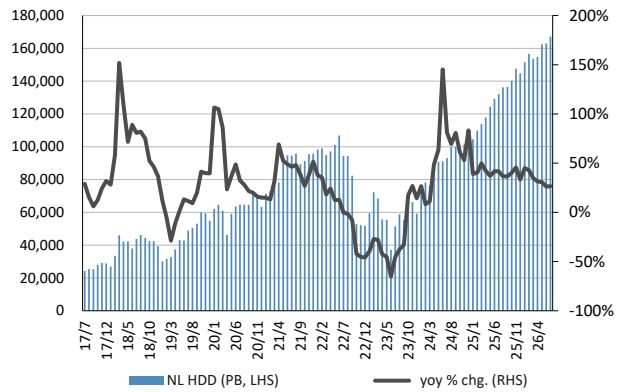
Source: TSR, J.P. Morgan.

Figure 5: Nearline HDD production volume



Source: TSR, J.P. Morgan.

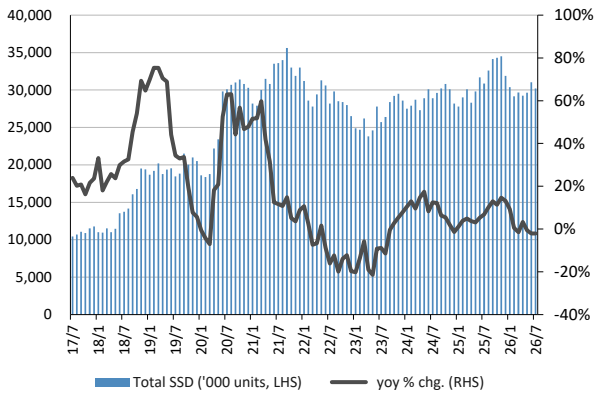
Figure 6: Nearline HDD capacity output



Source: TSR, J.P. Morgan.

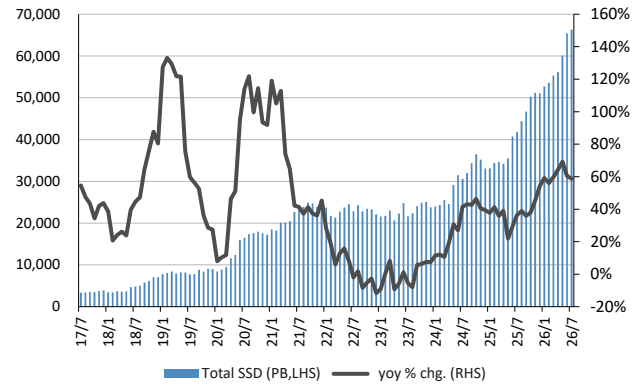
SSD production volume, SSD capacity output

Figure 7: SSD production volume



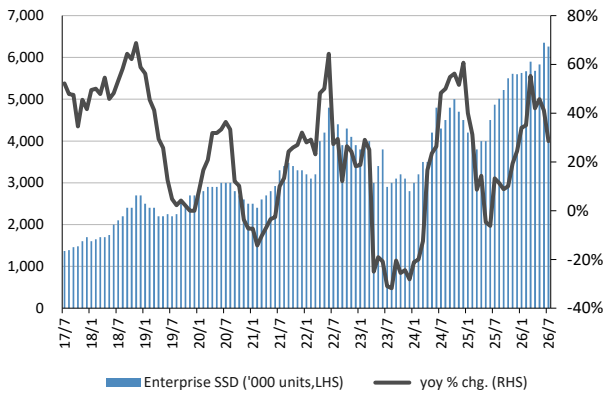
Source: TSR, J.P. Morgan.

Figure 8: SSD capacity output



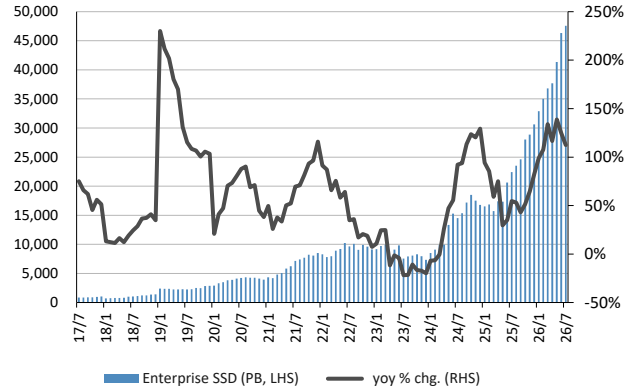
Source: TSR, J.P. Morgan.

Figure 9: Enterprise/Datacenter-SSD production volume



Source: TSR, J.P. Morgan.

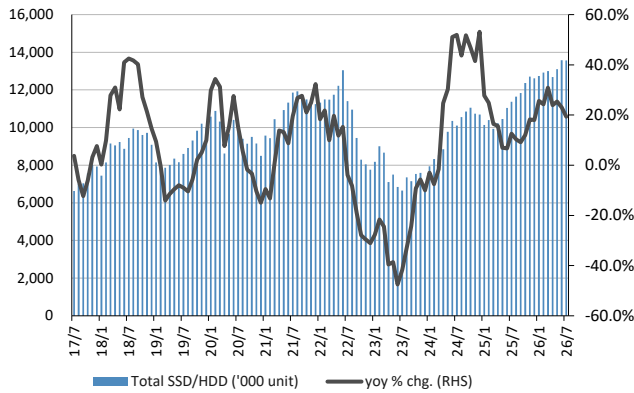
Figure 10: Enterprise/Datacenter-SSD capacity output



Source: TSR, J.P. Morgan.

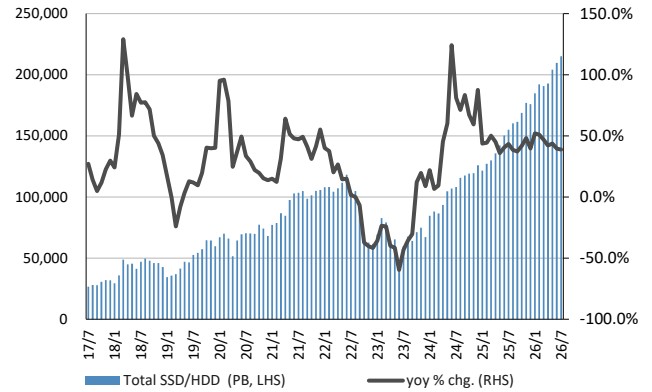
Enterprise/Datacenter Storage production volume, Enterprise/Datacenter Storage capacity output

Figure 11: Enterprise/Datacenter-Storage production volume



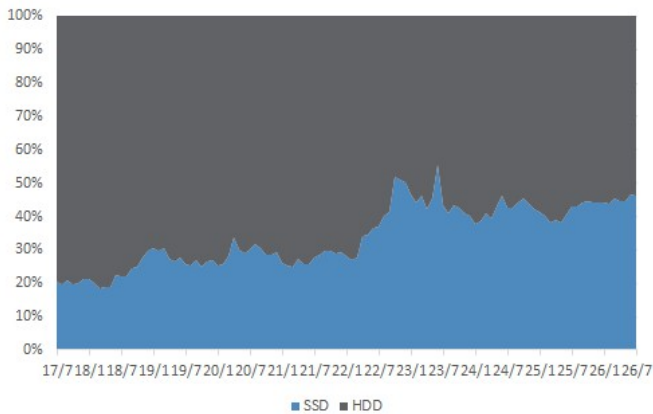
Source: TSR, J.P. Morgan.

Figure 12: Enterprise/Datacenter-Storage capacity output



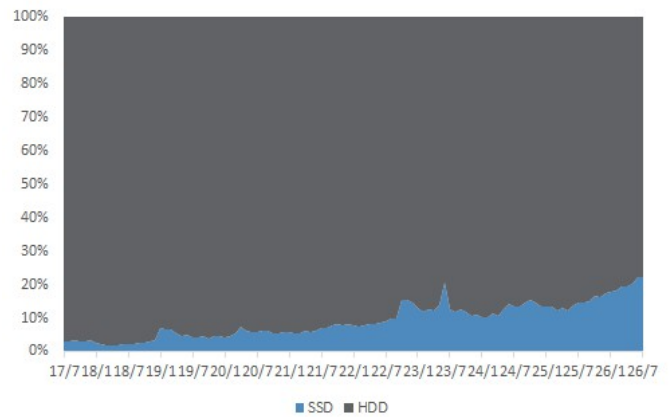
Source: TSR, J.P. Morgan.

Figure 13: Enterprise/Datacenter-production volume (SSD/HDD ratio)



Source: TSR, J.P. Morgan.

Figure 14: Enterprise/Datacenter-production capacity (SSD/HDD ratio)



Source: TSR, J.P. Morgan.

Companies Discussed in This Report (all prices in this report as of market close on 31 August 2026, unless otherwise indicated)
TDK (6762)(6762.T/¥3,078/OW)

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TDK (6762) (6762.T, 6762 JP) Price Chart



Date	Rating	Price (Y)	Price Target (Y)
24-Jan-24	N	1492	7,000
22-Jul-25	OW	1675	2,070
14-Oct-25	OW	2212	2,600
19-Dec-25	OW	2218	2,700
03-Apr-26	OW	1946	3,200
12-Jun-26	OW	3561	5,500

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jan 24, 2002. All share prices are as of market close on the previous business day.
Break in coverage Jul 04, 2024 - Jul 22, 2025.

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